

This section is specific to readers in the United States using laws and tax rates as of 2019. Numbers will change over time, but the principles likely won't. Readers from most countries will recognize similar themes and structure, but you'll need to apply them to the specific laws that govern you. Consult an accountant or review the current tax codes before doing any specific planning in case any details have changed since the publication of this book.

You must first understand how income is taxed in the United States. Not all earnings are taxed at the same rate. For example, in 2019, a married couple without children filing their taxes jointly pay no tax on their first \$24,400 using the standard deduction. They can earn another \$19,400 and pay only 10 percent income tax on that amount. The next \$59,550 is taxed at 12 percent. As you earn more, rates of taxation increase incrementally to 22 percent, 24 percent, 32 percent, 35 percent, and finally 37 percent for the highest earners. These percentages are known as marginal tax rates. Your last dollars earned will be taxed at their marginal rate. The average rate of taxation is your effective tax rate. The effective rate is calculated by dividing the total tax paid by your total earned income.

Let's demonstrate with a hypothetical scenario.